

NEW OWN RESOURCES

FOR A STRONGER EUROPEAN UNION



Global Redistribution Advocates

637

bn EUR borrowed
the European Union.

The EU responded collectively to the aftermath of the COVID-19 crisis with the NextGenerationEU plan. By raising funds jointly, Member States made it possible to secure more favourable borrowing terms. Working together paved the way for a common European response, strengthening the resilience and unity of

Debt service will begin in 2028. The question of how this debt will be repaid will be at the heart of negotiations on the next Multiannual Financial Framework (2028-2034). These two milestones create a critical political window in which the commitment to European cooperation is to be reaffirmed.

2028

Start of servicing

5 Ideas

for New Own Resources

The European Union's fiscal framework should guarantee fair competition as a driver of value creation. Value extends beyond economic development, yet is fostered by it. It encompasses wider benefits, from prosperity and innovation to social cohesion and environmental sustainability. It is by setting common rules and shaping the fiscal architecture that competitiveness is aligned with the common good. We propose five fiscal levies that contribute to a fairer and more effective European fiscal framework.

Building on the legacy of NextGenerationEU is not only about fiscal solidarity, it is also about carrying forward a common European project. Strong emphasis was put on the green transition and digital transformation, as well as

support for future generations and social cohesion. To preserve this legacy, we propose to raise revenues from a reform of aviation taxes, an augmented European VAT on luxury, a one-off levy on millionaire wealth, a tax on financial transactions and a tax on digital services. Our estimations show that these measures would raise 187 bn EUR per year. We propose to allocate 105 bn as new own resources, 56 bn to global public goods and 26 bn to a European sovereign fund. Each proposal will be summed up below and detailed in following annexes.

105 bn

for NORs

One

Deal

Some Member States may consider certain measures to be against their immediate interests, while others may benefit more directly from them. Reconciling these differences could yield benefits that no Member State could achieve on its own. Yet, the adoption of a new own resource requires unanimity, both at Council level and through ratification by every Member State. We present five ideas for new own resources to help build consensus. They don't constitute a package on the whole but aim to help identify the right combination and prepare a deal acceptable to all Member States. With this in mind, both the rates and scope of the selected instruments could vary. Alternative options are also presented for several of the proposed resources.

Member States' GNI contributions still account for the largest share of the EU budget. It acts as an adjustment variable permitting the EU budget to balance. New own resources would make it possible to reduce the overall amount financed through this contribution and could help balance

the weight new own resources may place on individual economies. Of the 105 bn EUR in new own resources, we propose to allocate 24 bn to NGEU interest repayment, 26 bn to expand the EU budget and 55 bn to reduce GNI-contributions. These updated contributions would be 80 bn EUR and account for 38% of the EU budget. A table below presents detailed contributions for each Member State under two proposed scenarios and for every tax proposition. Discussions on the composition of the package must treat the GNI contribution on an equal footing with the other proposals, as one component among others in determining the collectively agreed mix.

70%

GNI-contribution share

One

Common market

Beyond their revenue potential, new own resources contribute to the cohesion of the European economic framework. A unified approach builds coherence, encouraging companies to participate in an economy directed toward a common project rather than seeking to exploit fiscal distortions across the Union. Beyond its economic dimension, this signals a coherent European project to the rest of the world. A Union that speaks with a single voice. One that carries far greater weight in international discussions than twenty-seven Member States acting alone.

Taxing Digital Services

3%

A Digital Services Tax

France, Italy and Spain have already done it in order to address the issue of big digital companies escaping Corporate Income Taxes. International cooperation has so far failed to produce a collective response. In the meantime, taxing revenues serves as a temporary measure to capture the untaxed part of profits from the digital sector. Once an international agreement is reached, the instrument would be repealed, signalling the EU's position and pushing international partners to return to the negotiating table.

Online advertising exploits users' cognitive biases in the pursuit of effectiveness, causing documented harms, particularly among young people, from mental health problems to misinformation and radicalisation. Engineering talent devoted to surveillance and engagement optimisation could generate greater benefits for collective well-being if channelled elsewhere. Economists, including Nobel laureates Daron Acemoglu and Simon Johnson, propose implementing a 50% excise tax on this sector to force a paradigm shift. An initial rate of 15% would send a strong signal, preparing industry players for a gradual increase.

15%

On digital ads

A Moderate Wealth Tax

0.1%

to 0.5%

A moderate tax on the wealth of millionaires would address rising inequality with negligible effects on aggregate demand. The proposed rate goes from 0.1% for wealth above 1 million euros to 0.5% for wealth in excess of 100 million euros. We design it as a *one-off* levy, payable over thirty years, thus avoiding pitfalls that have historically undermined recurrent wealth taxes. Indeed, the tax would be owed based on wealth evaluated on January 1st, 2028, so it would not deter future investment. The tax can be paid in-kind to prevent any liquidity issue.

The tax schedule of our central scenario would raise €26 bn per year. While a wealth tax would require unanimity at the EU Council, it is supported by over 80% of Europeans. Although the tax would offer a new own resource, it is advisable to earmark its revenue into a European sovereign fund. Sized at 5% of EU GDP (twice the NGEU debt), the democratically managed fund would hold a diversified portfolio of equities, steer the ecological transition, and select strategic investments to strengthen Europe's future-preparedness.

26 bn

Per year

End the Aviation VAT Exemption

A Luxury Excise Tax

20%

Extra rate on luxury goods

refund for their purchases of luxury goods in the EU.

Economic analysis shows that luxury goods should be taxed at 42%, that is a 20% higher rate than the current VAT rate. This tax VAT would apply uniformly to yachts, private jets, luxury cars, artwork, jewelry, luxury watches, bags and apparel, cruises, luxury hotels, fine wines and spirits, fine dining. Simultaneously, non-EU visitors will lose the VAT

refund for their purchases of luxury goods in the EU. To pass, this tax would require unanimity at the EU Council. The tax is straightforward to implement since the administration already collects the VAT and categorizes goods.

The tax would raise €45 bn per year, and could even be doubled or tripled since the 20% extra tax is computed using very conservative assumptions. The most affected sectors would be the German car industry, the French and Italian luxury sector, and the Mediterranean luxury tourism. Eastern Europe, Northern Europe, Germany and the Netherlands would contribute less than their GNI share to this extra tax, while a substantial share of the tax burden would fall on non-EU visitors. Countries that contribute a larger-than-average GNI share would benefit from increased revenue of domestic VAT thanks to the coordinated abolition of the VAT refund for non-EU visitors.

45 bn

Per year

Luxury goods are partly purchased to signal one's wealth, a motive that would play out with lower resource use if they are priced more. Plus, they confer status, which entail a negative externality onto others. While inequality should in principle be addressed via income taxes, tax competition among EU countries results in insufficient top tax rates. An EU-level tax on luxury goods is a second-best substitute for harder-to-harmonise EU income taxes. Taxing luxury also has the desirable property that it does not reduce philanthropy or investment.

A Financial Transactions Tax (FTT)

The transfer of ownership of shares issued by companies incorporated in the EU would be taxed at 0.5% to fund EU own resources. The scope is deliberately narrow (covering only net transactions and exempting bonds, foreign exchanges and derivatives) to start with the easily implementable instrument. This leaves to later extensions the broader scope that triggered objections by Member States in a previous attempt (and aimed to raise €57 bn).

0.5%

Rate on equity transfers

While this tax requires unanimity at the EU Council, it does not cause economic distortions and is highly popular. Indeed, the burden of the tax would fall on (predominantly wealthy) stock owners. Given the exemption of intraday and derivative trading, it should be

8 bn

Table 1: Contribution allocated per Member State (millions EUR)

Pays	A 3% DST	15% Ad tax	0.5% FTT	Wealth tax	Aviation carbon tax	Luxury VAT
Austria	141	446	26.4	920	1,943.7	1,452
Belgium	200	248	61.1	722	3,124.8	1,452
Bulgaria	38	24	0.2	40	372	220
Croatia	46	36	0.3	36	362.7	352
Cyprus	16		0.8	46	744	220
Czechia	177	355	3.8	348	641.7	660
Denmark	106	350	113.8	533	1,720.5	616
Estonia	23	29	0.1	29	93	88
Finland	97	181	81.3	152	1,460.1	440
France	1,078	2,287	3,100	6,670	15,930.9	9,108
Germany	973	3,652	1,595.2	8,344	18,693	8,492
Greece	91	74	22.7	118	2,873.7	924
Hungary	139	153	5.9	208	706.8	396
Ireland	97	216	241.4	331	2,343.6	572
Italy	464	1,205	544.5	2,618	9,309.3	8,316
Latvia	27	27	0	20	251.1	88
Lithuania	41	32	0.1	31	195.3	132
Luxembourg	10		0	208	1,441.5	264
Malta	7		0	9	269.7	132
Netherlands	332	882	1,961	913	8,202.6	1,628
Poland	494	577	63	560	1,999.5	1,188
Portugal	136	114	24.9	330	3,850.2	924
Romania	133	40	1.9	121	809.1	484
Slovakia	76	51	0	19	83.7	176
Slovenia	33	18	0.4	75	46.5	176
Spain	683	1,122	240.6	2,151	14,117.4	4,532
Sweden	189	813	245.1	712	1,432.2	1,056
European Union	5,847	12,930	8,334.6	26,264	93,000	44,000

Table 2: Total contribution allocated per Member State (millions EUR)

Country	NOR and reduced GNI-contributions scenario	Status-quo scenario
Austria	3,332.9	1,370
Belgium	3,877.3	1,710
Bulgaria	348.4	310
Croatia	556.3	245
Cyprus	922.3	95
Czechia	1,097	925
Denmark	2,148.3	1,110
Estonia	135.3	110
Finland	1,550.2	750
France	28,966	7,955
Germany	27,763.8	12,050
Greece	3,362.6	660
Hungary	940.1	580
Ireland	1,992.3	1,605
Italy	15,610.3	6,005
Latvia	281.2	115
Lithuania	177.5	225
Luxembourg	1,659.5	240
Malta	346.2	65
Netherlands	10,315.7	3,115
Poland	2,065.6	2,455
Portugal	4,459.8	815
Romania	470	1,010
Slovakia	-6	365
Slovenia	136.3	190
Spain	17,682.6	4,490
Sweden	2,524.7	1,600